at $5 billion, debt flows were negative at $8.5 billion, whereas equity inflows were positive at $13.5 billion. In 2014–15, debt inflows at $26.2 billion were far higher than equity inflows at $14.8 billion, fairly similar to the previous year. The year 2015–16 again saw negative foreign portfolio debt at $483 million; this increased to a negative $828 million in 2016–17. In 2017–18, the tide turned again substantially with foreign portfolio inflows again being exceedingly high at $20.6 billion. The years 2018–19 and 2019–20 have also been volatile with 2018–19 recording a net outflow of $3.7 billion and 2019–20 recording a positive flow of $990 million. This big volatility in foreign debt portfolio investments accentuates the pressure on the Indian rupee. RBI has to undertake operations to mop up excessive inflows and sell dollars in the market when foreign portfolio investors cause larger outflows by selling debt securities in the market. India needs to find a solution to reduce this volatility for orderly functioning of the foreign exchange markets.

With only restricted permission for Indians to invest in foreign securities (equity and debt), net foreign portfolio inflows and outflows to the country on this score are relatively small. In the past four years, such net outflows have only been $154 million in 2016–17, $50 million in 2017–18, $213 million in 2018–19 and negative outflow or return of $851 million in 2019–20.

Other Investment Flows—Essentially NRI Deposits and Loans—Are Quite Sizeable

Equity raised on stock exchanges abroad in the form of ADRs and GDRs, NRI deposits, loans raised by the government abroad and by private entities in the form of ECBs and funds raised by banking institutions (banking capital) and funds transferred under insurance, pension and standardized guarantee schemes all get classified under other investment flows.